S&P Global
Market Intelligence

Amazon.com, Inc. NasdaqGS:AMZN

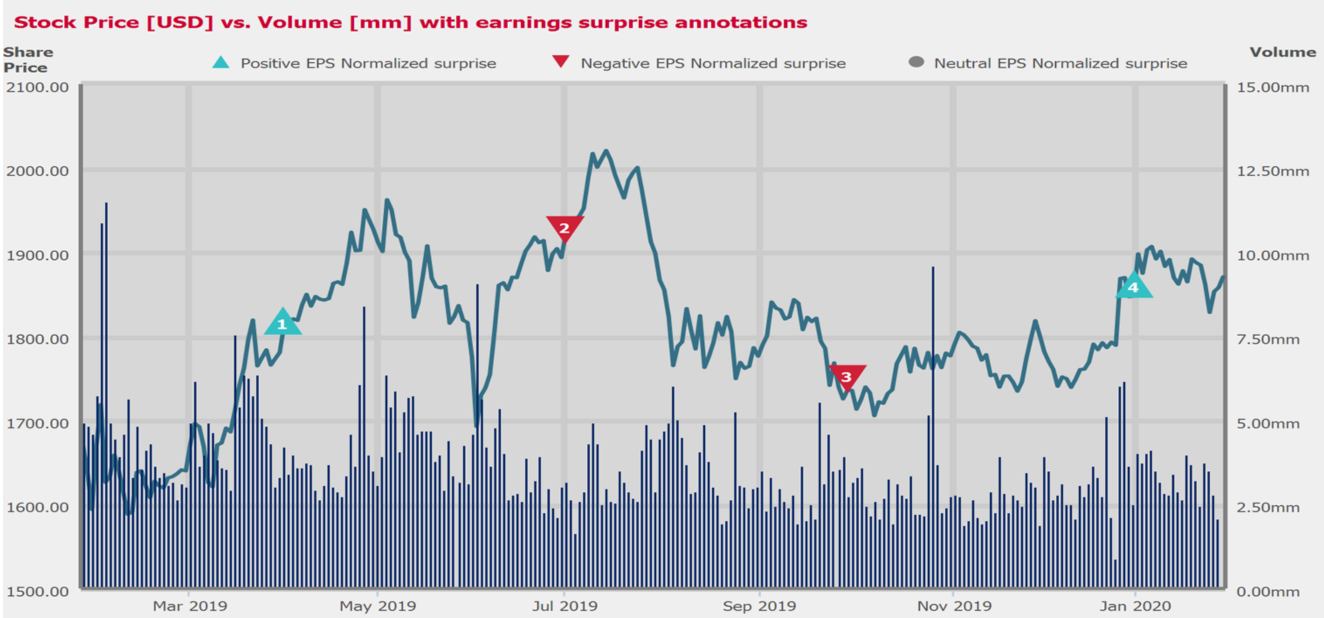
FQ4 2019 Earnings Call Transcripts

Thursday, January 30, 2020 10:30 PM GMT

S&P Global Market Intelligence Estimates

	-FQ4 2019-			-FQ1 2020-	-FY 2019-			-FY 2020-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS
EPS Normalized	3.97	6.47	▲62.97	6.14	20.63	23.01	▲11.54	27.04
Revenue (mm)	86085.64	87437.00	▲1.57	71586.03	279209.07	280522.00	▲0.47	332318.82

Currency: USD
Consensus as of Jan-29-2020 8:49 AM GMT



	- EPS NORMALIZED -		
	CONSENSUS	ACTUAL	SURPRISE
FQ1 2019	4.68	7.09	▲1 51.50 %
FQ2 2019	5.54	5.22	▼2 (5.78 %)
FQ3 2019	4.49	4.23	▼3 (5.79 %)
FQ4 2019	3.97	6.47	▲4 62.97 %

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EXECUTIVES

Brian T. Olsavsky
Senior VP & CFO

Dave Fildes
Director of Investor Relations

Shelly Kay Pfeiffer
Director of Investor Relations

ANALYSTS

Brian Thomas Nowak
Morgan Stanley, Research Division

Colin Alan Sebastian
Robert W. Baird & Co. Incorporated, Research Division

Daniel Salmon
BMO Capital Markets Equity Research

Douglas Till Anmuth
JP Morgan Chase & Co, Research Division

Eric James Sheridan
UBS Investment Bank, Research Division

Heath Patrick Terry
Goldman Sachs Group Inc., Research Division

Jason Stuart Helfstein
Oppenheimer & Co. Inc., Research Division

Justin Post
BofA Merrill Lynch, Research Division

Mark Stephen F. Mahaney
RBC Capital Markets, Research Division

Ronald Victor Josey
JMP Securities LLC, Research Division

Stephen D. Ju
Crédit Suisse AG, Research Division

Presentation

Operator

Thank you for standing by. Good day, everyone, and welcome to the Amazon.com Q4 2019 Financial Results Teleconference. [Operator Instructions] Today's call is being recorded. For opening remarks, I will be turning the call over to the Director of Investor Relations, Shelly Kay Pfeiffer. Please go ahead.

Shelly Kay Pfeiffer
Director of Investor Relations

Hello, and welcome to our Q4 2019 financial results conference call. Joining us today to answer your questions are Brian Olsavsky, our CFO; and Dave Fildes, Director of Investor Relations. As you listen to today's conference call, we encourage you to have our press release in front of you, which includes our financial results as well as metrics and commentary on the quarter.

Please note, unless otherwise stated, all comparisons in this call will be against our results for the comparable period of 2018. Our comments and responses to your questions reflect management's views as of today, January 30, 2020, only and will include forward-looking statements. Actual results may differ materially. Additional information about factors that could potentially impact our financial results is included in today's press release and our filings with the SEC, including our most recent annual report on Form 10-K and subsequent filings.

During this call, we may discuss certain non-GAAP financial measures. In our press release, slides accompanying this webcast and our filings with the SEC, each of which is posted on our IR website, you will find additional disclosures regarding these non-GAAP measures, including reconciliations of these measures with comparable GAAP measures.

Our guidance incorporates the order trends that we've seen to date and what we believe today to be appropriate assumptions. Our results are inherently unpredictable and may be materially affected by many factors, including fluctuations in foreign exchange rates, changes in global economic conditions and customer spending, world events, the rate of growth of the Internet, online commerce and cloud services and the various factors detailed in our filings with the SEC.

Our guidance also assumes, among other things, that we don't conclude any additional business acquisitions, investments, restructurings or legal settlements. It's not possible to accurately predict demand for our goods and services, and therefore, our actual results could differ materially from our guidance.
With that, we'll move to Q&A. Operator, please remind our listeners how to initiate a question.

Question and Answer

Operator

[Operator Instructions] Our first question is coming from the line of Heath Terry with Goldman Sachs.

Heath Patrick Terry
Goldman Sachs Group Inc., Research Division

Great. Really appreciate this. Just on the AWS business, as you look sort of at the strength that you saw in the quarter, particularly represented by the amount of dollars added quarter-over-quarter, is there anything in particular that you would call out either in terms of specific types of workloads, regions, specific customer types that you felt like drove the strength, particularly relative to the directional -- direction of growth that we were seeing in the earlier parts of the year?

Brian T. Olsavsky
Senior VP & CFO

No. I would not isolate it to any one set of customers or products. I think it's been pretty broad-based. And it's kind of the culmination of a lot of work on adding new products and features, adding to our sales and marketing teams and having better penetration in enterprise customers and hitting a lot of varied and different industries. So I think that's what you're seeing. We feel that our product set is -- leads the market, and we add to it at a quicker pace than our competition. So actually, the gap on capacity and features is growing as we speak.

We also think that there's a real network effect when you use AWS with the millions of active customers and tens of thousands of global partners. And we continue to expand. We're now in 69 availability zones across 22 geographic regions. So I think it's the combination of increased sales support, more and better products that hit customers' needs and also the geographic expansion is what you're seeing.

Operator

Our next question comes from the line of Colin Sebastian with Robert W. Baird.

Colin Alan Sebastian
Robert W. Baird & Co. Incorporated, Research Division

Was just hoping you guys could disaggregate a bit the strength in seller services, how much of that was third-party marketplace commission specifically? And are you seeing more of an uptick in some of the other contents and services?

Brian T. Olsavsky
Senior VP & CFO

On seller services, I would say it was just a very strong quarter, if that's what you're referring to, 31% growth in revenue. It was strong on a unit basis. But -- and as you said, there's probably additional strength in FBA, which has higher fee set than MFN does. So -- but in general, if you step away, I think what you're seeing is more and more participation of third-party sellers in our 1-day delivery program as we move through the year. That was particularly strong in Q4, and I think you'll see that more as we move into 2020.

Operator

Our next question comes from the line of Justin Post with Bank of America.

Justin Post
BofA Merrill Lynch, Research Division

Just wondering if you could go high level, what drove upside to your guidance on revenue in the quarter on the retail side? Anything there that you'd really call out? And then on the AWS investments, obviously, you just talked about investments starting in 3Q. Where are you in that investment? Your margins are still below peak. Where are you kind of in that investment cycle?

Brian T. Olsavsky
Senior VP & CFO

Sure. Well, as I said, on revenue, we came in at $87.4 billion, which exceeded the high end of our range of $86.5 billion. $400 million of -- roughly $400 million of that was due to foreign exchange. But what we saw was essentially very strong holiday performance from the middle of November on. We also had a very big uptick in response to the 1-day availability that's been building through the year.

I think Prime has been very strong. We have mentioned that we have more than 150 million paid Prime members globally now. And we mentioned that we have more people join Prime in Q4 than any other quarter before. So a lot of good momentum there built up on the aggregation of benefits that we continue to add to the Prime program, most recently the 1-day -- expansion of 1-day shipping.

On AWS, where are we in the cycle? I talked more in 2018, when the margins in AWS were -- it's closer to 30%, about the efficiency of infrastructure spend and -- versus prior years. So we continue to -- since that point, we've continued to add infrastructure capability and -- to support our global expansion as well. But what you're seeing probably more in the margins is the expansion of our sales and marketing effort at some of those costs as well as price decreases and longer-term contracts that we've signed with some of our customers. You'll notice on our balance sheet that our future commitments on the multiyear deals now stands at $30 billion at year-end, and that's up 54% year-over-year. So there's a lot of good momentum on the enterprise side as well.

Operator

Our next question comes from the line of Jason Helfstein with Oppenheimer & Co.

Jason Stuart Helfstein
Oppenheimer & Co. Inc., Research Division

Just to ask about AWS again, I mean, there's investors that have become, I guess, recently concerned just about, again, the slowing AWS revenue and margin and whether it's a function of increased competition. So maybe just talk about how you're reacting. You did talk about spending on sales and price cuts, but just any more you can talk about the competitive environment.

Brian T. Olsavsky
Senior VP & CFO

Sure. I would probably argue a bit with the growth comments. As we see it here, we grew from a $30 billion revenue run rate at the end of 2018 to a $40 billion revenue run rate at the end of 2019. So we continue to be happy with our top line growth. The -- in dollar terms as opposed to percentages, we had a larger dollar increase in revenue, both year-over-year and quarter-over-quarter. So we're very happy with the progress of the revenue and our adoption and acceptance by customers.

As far as competitive set is concerned, we -- again, we think that we have -- start with a very big lead in this space because of our many years of investment, not only in capacity but also in services and features that we provide to customers. We learn from customers. We just had a great re:Invent conference in December, where all of our -- it was a great aggregation of partners and customers and developers. And at those events, we not only get to present our new products, and there were over 100 in -- that were launched in December, but we also get to hear customer issues and help -- that helps sign our -- educate our forward road map.

So it's a great shared learning. I think customers react to it. Customers will be at different stages of their adoption curve. There's always different phases: first, moving to the cloud, then organizing on the cloud and then growing further. So there's a lot of movement. I said that repeatedly, I think, in this setting, that any quarter -- quarter-to-quarter movement is going to be a little bumpy. But generally, what you're seeing is the convergence of a lot of investment, a lot of operational efficiency and a lot of innovation on behalf of customers.

Operator

Our next question comes from the line of Stephen Ju with Crédit Suisse.

Stephen D. Ju
Crédit Suisse AG, Research Division

I wanted to switch it up a little bit. I guess you guys called this out in your press release, but I'm wondering if you could talk about your efforts to get the SMBs and the micro SMBs online in India. What exactly is involved from a practical perspective? Do you need to have door-to-door sales folks? And what can you do to reduce friction between logistics, payments and some of the other factors there? And second, what are these SMBs selling? Is it like long-tail inventory? Is it merchandise that you can get to exports to global buyer base? And do you think this could be content that could be exclusive to Amazon?

Dave Fildes
Director of Investor Relations

Yes. Stephen, hey, this is Dave. Thanks for the question. As you said, I think as we mentioned this in the release, we're definitely continuing to improve the experience in India for customers and sellers, excited by some of the response we've seen. We are continuing to invest meaningfully in digitizing those, say, MSMBs, micro, small and medium-sized businesses. We did pledge to invest $1 billion to help digitize traders and those micro and small businesses across India. And we've got a goal of bringing more than 10 million online by 2025. So this $1 billion investment will help to enable $10 billion in cumulative Indian exports by 2025.

A lot of different facets to those types of investments. I won't go into too much for specifics, but a lot of work being done there. We're also focused on job growth, job creation over there. Since we launched over in India in 2013, we've created over 700,000 direct and indirect jobs. So -- we also recently announced plans to create additional 1 million jobs in India by 2025. So a lot of, I think, innovation, ideas, investment.

That team over there continues to do a great job locally of taking a lot of the tenets that we've had at Amazon around innovation building and really run with that over there and done a great job of coming up with some interesting and new services and features that I think are specific to that region. And hopefully, as we continue to do that, we'll keep identifying areas over in India and tool sets and features over in India that we can bring back to other regions to help benefit other sellers and the other websites more broadly.

Operator

Our next question comes from the line of Brian Nowak with Morgan Stanley.

Brian Thomas Nowak
Morgan Stanley, Research Division

I have 2. Just the first one, Brian, I think on one of the media interviews, you talked about how you're becoming more efficient with 1-day and you continue -- with next-day delivery and continue to do so and talked about $1 billion of cost in that current quarter. Maybe just sort of talk to us about some of the largest qualitative fix in variable cost sort of still associated with 1-day and the processes and the opportunities for efficiency to really get that number down as we go throughout 2020. And then maybe any specific product categories or good categories where you've seen an acceleration in demand from 1-day that you'd call out?

Brian T. Olsavsky
Senior VP & CFO

Sure. Let me make sure the numbers are understood. We had talked about -- last year, about an initial step-up in cost of close to $800 million in the second quarter. We -- that carried into Q3, slightly higher in Q3. And then in Q4, last time we're on this call, I mentioned that we estimated Q4 would be $1.5 billion penalty, was slightly under that despite the higher volumes and revenue growth than is in our guidance.

And looking ahead to Q1, we estimate approximately $1 billion of additional costs year-over-year. And again, in Q2, we'll start to lap this. And that doesn't mean the delta goes to 0. It means that there'll be a step-up as we grow and expand on a volume basis, and then we'll see where our rates are on actually delivering and fulfilling 1-day. So I will keep you posted on our results and guide in the future as to where we see those costs going.

If you look at the efficiency or the -- first, the cost, they generally fall into a few buckets. It's obviously transportation, where you're building out new transportation modes, you're adding new deliveries, partners are adding new routes. Many times, they start with subscale volumes, and you build them out, you get more efficient, you get more volume, more package density. And that creates efficiency.

When we started this, again, Q2 of last year, we also had an abrupt change to our fulfillment network in that when it's tuned for 2-day delivery, on the most part, and you move to 1-day, in a lot of cases, it's advantageous from a cost and transportation standpoint to have that inventory closer to the customer. So we've -- last year, we're in the middle of that transition. We still are, as we shift inventory to be more local, to enable local deliveries to hit shorter cutoff times. So that will continue to become more efficient.

We do see a -- we look to scale our fulfillment center network further. We grew the square footage for fulfillment and transportation by 15% each of the last 2 years, and we look ahead and see a step-up in that this year as we start to build more capacity for the 1-day. I haven't guided beyond Q1, but that's certainly something that will step up. But we get efficiencies as we learn and grow and handle more 1-day volume.

The third area is foregone ship revenue, just simply because we're having free shipment and no longer charging for it. That, unfortunately, doesn't leverage, but it -- we do start to lap after a while. So I would say that -- just as we've had other shocks to our warehouse system over the years from going to -- from media to almost every product you can imagine, to having a cycle of increased third-party presence in the FBA program now to 1-day, we have a history here where we can look for opportunities to be more efficient and lower the -- any cost penalties as we move forward.

Operator

Our next question comes from the line of Dan Salmon with BMO Capital Markets.

Daniel Salmon
BMO Capital Markets Equity Research

Brian, just to follow up on 1-day shipping. You noted that you begin to lap the beginning of the initiative here in the second quarter and that, naturally, costs can flow up with volumes. But just to be clear with you, is the idea here, as we anniversary at that sort of incremental expansion of 1-day shipping, either regionally or certain SKUs, is functionally finished? I just want to make sure I understand that properly.

And then just -- we can see the other number reported. Just any color within there on the advertising business and, in particular, would love to hear an update just a bit on some of your brand initiatives there. I know that probably wasn't the focus in the holiday season, but it seems to be an important growing part.

Brian T. Olsavsky
Senior VP & CFO

Sure. Let me start on the 1-day. So yes, we do see expansion of the 1-day program as we move through the year. We've been expanding since we started this effort in Q2 of last year. Expansion means additional cities, additional routes, additional ZIP codes. But more -- I think what you'll see more in 2020 is also an -- more effort internationally, more costs internationally. We have greatly improved our selection of 1-day in -- particularly in Europe and Japan. We started with higher 1-day percentage of our shipments in those geographies, but we do have to take steps and are taking steps to increase that. And we expect that to be -- it's starting to be a little more balanced cost globally as we move into 2020.

Dave Fildes
Director of Investor Relations

Yes. Dan, in terms of your question around brands, we're focused on certainly brands as an advertising customer set and a lot of focus on providing the products and tools that are going to help customers and really inspire them. So things that we're really excited about our stores, so a brand can customize and curate a multipage store. It allows them to better tell customers who they are and share their story. So we can help deepen the brand engagement and the customer loyalty through that type of option.

Some other things like posts, which helps customers discover products and brands. And it's through a curated feed that features the brand's lifestyle content, and it's on a mobile detail page. And there's international expansion in some other areas. I think, broadly, with advertising, so much of this is about having -- developing great relationships with these advertisers because I think they appreciate the fidelity we can provide around shopping outcomes. We're uniquely positioned to do this, given our retail business.

On the advertising business -- I rather -- I should say, other revenue, that line item grew about 41% year-over-year. Advertising is the biggest piece of that. That line item is growing at about the same rate. Advertising revenue is, as a subset, been growing at about the same rate year-over-year in the fourth quarter than it did in the third quarter.

Operator

Our next question comes from the line of Eric Sheridan with UBS.

Eric James Sheridan
UBS Investment Bank, Research Division

Maybe a 2-part question on AWS, if I can. You called out the depreciation change with respect to AWS going forward. Just wanted to better understand some of the decisions that were made on useful life that drove that decision and how to think about that from a modeling perspective going forward. And then the second part would be, what does that mean in terms of the way you're thinking about forward CapEx cycles for the AWS business, if you're assuming useful life is moving out maybe than prior assumptions?

Brian T. Olsavsky
Senior VP & CFO

Sure. Thanks for bringing that up. So we, as a practice, monitor and review the useful life of our depreciable assets on a regular basis to make sure that our financial statements reflect our best estimate of how long the assets are going to be used in operations. In Q4 -- and we've been looking at it in both the FCs, fulfillment centers, and also AWS annually. As we look in Q4 of 2019, we believe it's -- there's enough trend now to show that the useful life is exceeding 4 years. We have been -- for servers, and we had been depreciating them over 3 years. So we are going to start depreciating them on a 4-year basis. It doesn't unwind any depreciation that's already been booked. It just takes the asset from its current status and extends the depreciation period, and then new assets will be put into play. It will extend out for 4 years instead of 3, and we'll continue to revisit this.

I do want to point out it's not just an accounting-related change. It's rather a reflection of the work that we've done to make our server capacity last longer. We've been operating at scale for over 13 years in this business, and we continue to refine our software to run more efficiently on the hardware. It then lowers stress and extends the useful life, both through the servers that we used in the AWS business and also the servers that we use to support our own Amazon businesses. So -- and despite that, we give AWS customers and -- actually, because of this, AWS customers continue to get access to the latest technologies more quickly than ever before.

So we are essentially reflecting the fact that we have gotten better at extending the useful life here and now building that into our financials moving forward. Yes, you're right, it should also impact our need and our timing of capital. I would say that it's also been part of the reason that we've been able to keep capital relatively under in check the last 2 years in the infrastructure area. But it's $800 -- excuse me, $800 million lower depreciation expense in the quarter, and it will be consistent. It will change quarter-to-quarter. We will update you. But as you can see in our financial statements, it's about $2.3 billion impact, Q2 of 2020.

Dave Fildes
Director of Investor Relations

Yes. And just kind of the modeling point, too, on that. The $800 million is in Q1. We do think that the -- for that accounting impact, effectively, we expect that, that amount will decrease as we go through the year. And it's tech infrastructure assets. So it's -- or I should say, the servers are tech infrastructure assets. So when you think about segments, the majority of these relate to the AWS segment.

Operator

Our next question comes from the line of Ron Josey with JMP Securities.

Ronald Victor Josey
JMP Securities LLC, Research Division

Brian, I just want to ask a little bit more about the holiday season, given the beat on the top line and see if there's any way to quantify maybe the impact from the shortened holiday shopping season. I mean it doesn't seem like much, just given the better results in online sales and retail third-party seller services. But is there any way to think about the 6 less days? And then also, you mentioned last quarter an impact from the Japanese consumption tax. Any sort of impact? Did that go according to plan? Or any thoughts there would be helpful.

Brian T. Olsavsky
Senior VP & CFO

Yes. First of all, on the -- there were 2 items we discussed last quarter with the Japan consumption tax, raising from 8% to 10% effective October 1. The net result was a pull forward of some purchases by Japanese customers into Q3 and also some negative elasticity effects post October 1. The other item was Diwali timing, the Indian holiday, which has a very large swing factor on international revenues, is -- it moved more into the third quarter this year versus -- in 2019 versus 2018. So it was a help to Q3 and a penalty to Q4. Those 2 items impacted the Q4 growth rate negatively by about 300 basis points. That was our estimate, and we believe that was the actual outcome.

Ronald Victor Josey
JMP Securities LLC, Research Division

On the international?

Brian T. Olsavsky
Senior VP & CFO

On the international segment, excuse me, yes. The -- sorry, the first question was, oh, the holiday season. Yes. We don't see that as a factor actually. And I mentioned that last call as it wasn't incorporated into our guidance in a negative fashion. The way we look at it and the way we believe it works, at least in our business, is that customers will have a holiday budget, and they will spend it between generally the middle of November. It's creeping up to the early part of November through the holiday season. And we do see obviously spikes in Black Friday and Cyber Monday, and we also see relative tick-up in trends as we get closer to the holiday and before the shipping threshold cutoff. So there's a polarization of -- tends to be a polarization to early shipping -- or excuse me, early purchase and late purchases.

As far as the 6 days sort of time period between Thanksgiving and the Christmas holiday, we don't see an impact on that. Perhaps it's a bigger issue for stores and just foot traffic, but we don't notice it in our business.

Operator

Our next question comes from the line of Doug Anmuth with JPMorgan.

Douglas Till Anmuth
JP Morgan Chase & Co, Research Division

I just want to shift gears to grocery. I know you added AmazonFresh into Prime, kind of removing the previous $14.99 a month component there and putting it into Prime. And you talked about the 2,000 U.S. cities and towns with 2-hour delivery. Can you just talk about what the early impact there is of bundling kind of Fresh into Prime at this point and then just how you're thinking about your grocery strategy as you're positioned now?

Brian T. Olsavsky
Senior VP & CFO

Sure. Thanks for your question. So early results are good. We -- our grocery delivery orders from the combination of AmazonFresh and Whole Foods Market more than doubled in the fourth quarter year-over-year. So we believe customers are starting to notice and take advantage of this. We wanted to take -- we will see where people's tastes and preferences will take them. We are -- whether they go to the store, the Whole Foods Market store, or they use Prime Now or Amazon delivery for their groceries. Right now, we're really just testing and reacting to the customer demand and the customers' preferences, and we'll do so for the foreseeable future.

Operator

Our final question will come from the line of Mark Mahaney with RBC Capital Markets.

Mark Stephen F. Mahaney
RBC Capital Markets, Research Division

Okay. Then I'll throw off 3 quick ones. Just talk a little bit more about gross margins in the quarter. You had -- the year-over-year trend was negative last quarter, but it turned, reversed and was up this quarter. So if there are any unusual factors you'd want to call out there. Second, the -- I don't want to read over a lot into your guidance, but every year, for the last 5 years, you've always guided to operating profit down sequentially. And then you maybe delivered better than that, but you always guided down. This year, your high end of your range is actually above what you obviously did in the fourth quarter. Are you just trying to remind people, tell people, educate people on how the mix shift in the business towards AWS and advertising is just changing the profit profile of the business? So any more color there. And then last one, since Sunday is coming up, I know you talked about the AWS customers, and you mentioned the Seattle Seahawks, but what about the 49ers?

Brian T. Olsavsky
Senior VP & CFO

Good luck, 49ers. I'll get that out there first. Good luck, Kansas City Chiefs fans. We're indifferent. Let me start with your second one on -- sorry, the -- start with gross margin.

Dave Fildes
Director of Investor Relations

Yes. So I don't think there's anything too surprising you caught there. I think we continue to see some good growth in the third-party business. You saw that accelerate some. We're continuing to see that trend of more FBA sellers signing and taking a larger percentage of the total 3P mix of units that are sold through, so that continues to do well. And as Brian mentioned earlier, we think some of that has to do with the program keeps getting better with faster shipping and whatnot. We've invested many billions of dollars in that program to make it even better for sellers. AWS had a strong quarter, of course, so that helps on the gross margin side as well.

And then on transportation, I think you saw the outbound shipping costs to grow around 43% year-over-year. So certainly, up a good deal versus the trend line we saw in 2018. But of course, that's reflective of 1-day and overall relative to our expectations. As Brian said, with the $1.5 billion we guided to, we came in a bit under that. So some of that was certainly part of some better-than-expected trends, efficiencies.

Brian T. Olsavsky
Senior VP & CFO

And on the comment on seasonality of guidance and Q1, that -- I think the historic trend of peaking a bit in operating income in Q4 and then stepping down in Q1 has been broken up a little bit as we've had the balance of AWS and some other things. But if you actually look back to Q1 of last year, it was the highest operating income quarter on record, and that's one of the -- makes a difficult comp this year because we had the, if you remember, the slowdown in expenditures in 2018 in things like fixed -- adding of headcount, warehouse space, infrastructure costs, not to 0 but like down off of prior investment levels in 2016 and into 2017. A lot of that continued -- that cost baseline continued into Q1 of 2019, and it actually was a super efficient quarter from a cost and profit standpoint.

Q2 of last year, we started to again make larger investments, particularly in 1-day. And so that's now something that is lapping in Q1 of this year because we didn't really have 1-day in Q1 of last year. But -- so I think there's -- it's hard to draw those parallels between quarters anymore. I will, though, mention the guidance that we do have the $800 million of lower depreciation from our extension of our server -- useful lives, which is part of the range that we gave you of $3 billion to $4.2 billion.

Dave Fildes
Director of Investor Relations
Thanks for joining us today on the call and for your questions. A replay will be available on our Investor Relations website, at least through the end of the quarter. We appreciate your interest in Amazon, and we look forward to talking with you again next quarter.